



THE DAILY PIP CYCLE

Step by step guide



Introduction

First thing, be sure to have learnt the order block strategy before jumping to this strategy. Without the foundation you will struggle.

Take your time understanding the concept and acknowledge that this is an edge and every edge will have failed set ups. However, understanding that an edge is for long term profitability.

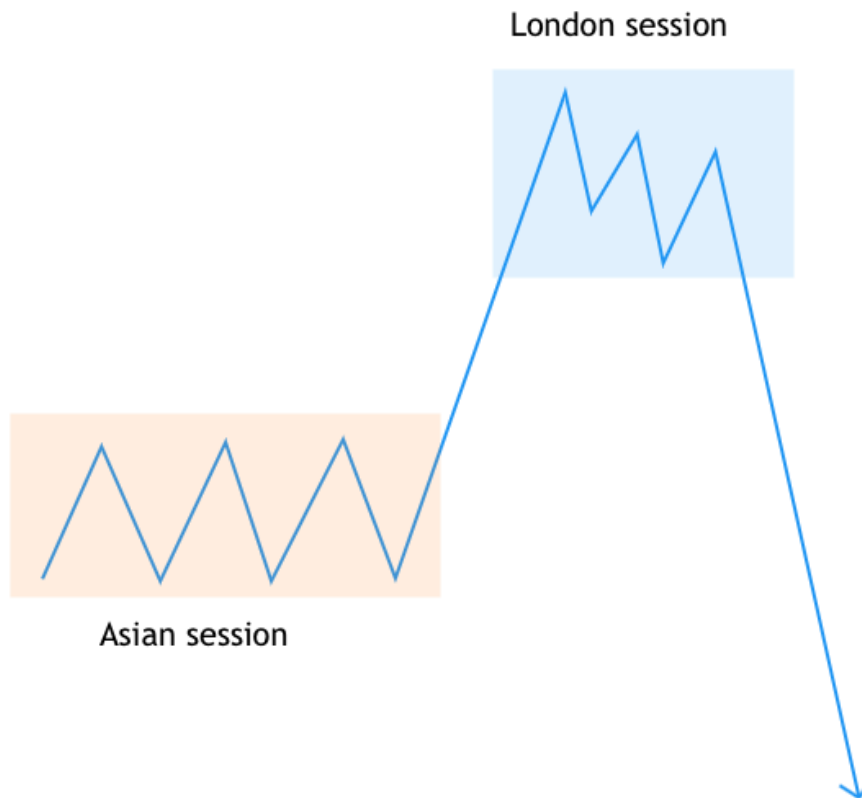
So why use this strategy?

This is ideal for those who are looking to trade intraday set ups during London session.

The entry criteria no different to our order block strategy, you simply need to understand the why.

The cycle

Below is the set up in a very basic visual representation



So lets try and understand the theory and the reasons why this happens

The Theory

The theory is based on the liquidity. Simple as that. We all know by now that liquidity is what fuels the market and this strategy is based on grabbing liquidity and running.

So, whats the backstory?

During the Asian it is believed to be a 'ranging' or 'consolidating market'

Now what do we know about consolidating markets and how the markets function?

Ranging markets = Equilibrium between buyers and sellers. Everyones happy.

Will this last?

Of course not mate!

So, the idea is to grab liquidity from either the sellers of buyers and the reversing. Our entry is that reversal.

Make sense so far?

The Theory

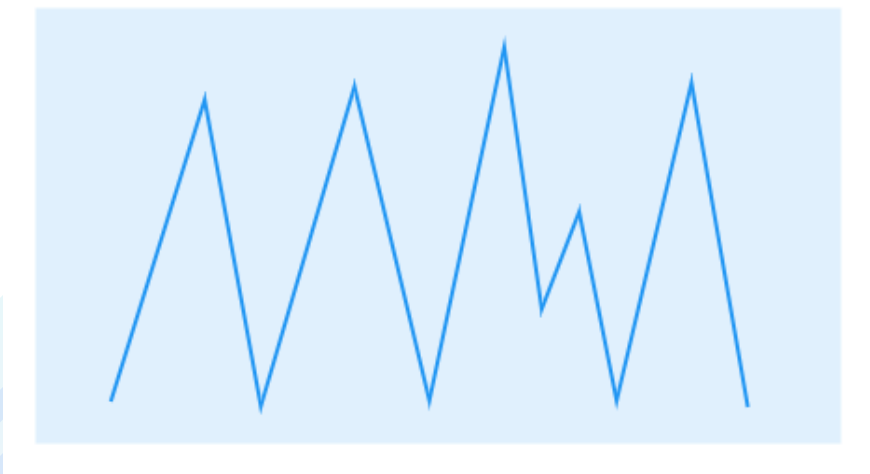
**So what is ideal for this strategy to work?
You need a ranging market during the Asian session.**

By now you all should be able to distinguish between a ranging market and a trending market.

Why do you want a ranging market?

Because of the equilibrium in the market, we need that liquidity hunt. If the market is trending, this not only makes liquidity grabs unclear but it lowers the probability as there is no question of institutions looking for higher or lower prices as the trending markets will already show its hand and intentions. You may use this on trending markets but bear in mind the win rate and probability.

Asian session



The Edge: Step 1

Now, once London opens, this is when you have to be ready. Why during London?

The first 2-3 hours is the most liquid time in the markets and if this set up was to play out it will do so during this session.

So how do you set it up?

On any time frame you are comfortable with, mark out the asian range high and low and set an alert.



The Edge: Step 2

Great, you have set your alerts. Now we wait for a break of either the high or the low.



Once you alert goes off, it is time for getting an entry now.

So in terms of entry, how do we do it?

It is the same entry patterns either pattern one or 2 and you can enter at entry type 1 or 2, the choice is yours and to find what you prefer.

The Edge: Step 3

Wait for our two rule entry to show. Then you know what to do next. Trade without fear and with full confidence in the edge.



In terms of timeframes, this is a personal preference as to which time frame you wish to get an entry from. Never forget the fractal nature of the market. It will all replicate.

The Edge: Step 3 Continued

Targets where do you put it?

Simple, for the asian range high or low depending on if you are buying or selling.



Alternatively you can manage the trade as you see fit. If this is pro trend, my be wise to take partials and leave a little volume to run. Or if its counter set a hard TP. But the choice is yours how you manage the trade not mine.

The key facts

- Remember this is an edge, it will have losing runs.
You need to trust the edge for longevity.
- Remember the theory and logic behind everything you do. Never forget that. No logic no trade.
- Market runs on liquidity and that is exactly what this edge is built on. We are essentially entering on an LG.
- **When we break the asian range, do we need to react off an OB?** - No you do not. Doesn't always do this. If you see our entry pattern take it with confidence. If it reacts to an OB this is simply a confluence for you at this point.
- **What pairs?**
This is up to you. Generally GBP, EUR and USD pairs work well. Stick to majors purely for the liquidity
- Trust the process and back test over and over till you are confident. I cannot give you confidence, this what you have to practice and develop.
- High probability = When asian range is ranging.
When asian range is trending - probability is low but it's up to you to test to see what you prefer.
- US session - this is either a reversal or continuation of London. We will never know. Its up to you if you want to hold for TP or close at US session.

Enjoy the
process and
love the
art of
trading

TRADE SAFE

